

THE WALL STREET JOURNAL.

What's News

Business & Finance

- ◆ **Bets made on Kalshi** and Polymarket about the fate of Iran's leader before the U.S. and Israel attacked the regime are drawing sometimes angry reactions from U.S. lawmakers and others who challenge the propriety of such wagers. **B1**
- ◆ **Layoffs at fintech firm** Block last week added momentum to a growing backlash at American companies against the prospect of mass unemployment caused by the wider use of artificial-intelligence tools. **B1**
- ◆ **Paradigm, one of the** largest venture investors focused on crypto, is expanding its brief to include artificial intelligence, robotics and other forms of advanced technology. **B4**
- ◆ **Berkshire Hathaway's** new chief executive, Greg Abel, laid out a vision for the conglomerate that signaled he would stick with what worked for his predecessor, Warren Buffett. **B3**
- ◆ **Auto-parts supplier** First Brands is hastening to sell its brands in bankruptcy to avoid liquidation within roughly two months. **B3**
- ◆ **"Scream 7" led the** weekend domestic box office, pulling in \$64.1 million at the movie's debut. **B2**
- ◆ **Early last year,** a cluster of data centers in Virginia suddenly dropped off the power grid, threatening the stability of the state's already vulnerable system for a second time in a span of months. **B3**

Worldwide

- ◆ **U.S. and Israeli airstrikes** pummeled Iran for a second day following the killing of Supreme Leader Khamenei, as Tehran responded with a retaliatory barrage that threatened to further destabilize the region. **A1, A6-9**
- ◆ **Khamenei's death** brought a sense of disbelief to a nation divided over his legacy, as supporters gathered in mourning and opponents celebrated his demise. **A7**
- ◆ **Oil prices surged** after the tit-for-tat strikes across the Middle East, leaving Wall Street bracing for the economic fallout of an extended regional war. **A1**
- ◆ **The FAA is considering** cuts to flights this summer at Chicago's O'Hare airport, where United and American Airlines are competing for arrival and departure slots. **A3**
- ◆ **Two people were killed** and 14 were injured in a shooting in Austin, Texas, that law enforcement said may be connected to terrorism. **A3**
- ◆ **Over four dozen** House members have decided not to seek re-election, and the number could potentially rise to a record for a midterm. **A4**
- ◆ **FBI Director Patel's** attraction to the spotlight is chipping away at the bureau's button-down image and unnerving some of its personnel. **A5**
- ◆ **Afghanistan thwarted** airstrikes on Bagram Air Base amid continued cross-border conflict with Pakistan. **A9**
- ◆ **Died: Ali Khamenei,** 86, Iran's supreme leader. **A7**

JOURNAL REPORT

C-Suite Strategies: Gen Z's workplace struggles. **R1-8**

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U.S., Israel Intensify Attacks on Iran



Tokyo



Istanbul



New York



London

Opponents of the Iranian regime staged demonstrations in cities around the world Sunday to celebrate the wave of U.S. and Israeli attacks that killed the country's hard-line leader. Many protesters waved Iranian flags that predate the revolution of 1979.

After Denouncing U.S. Intervention, Trump Topples Foreign Leaders

By VERA BERGENGRUEN AND MERIDITH MCGRAW

In front of a packed chamber of Arab political and business leaders last May, President Trump declared that the era of American-led regime change was over.

"In the end, the so-called nation builders wrecked far more nations than they built," he said in Riyadh, deriding the "Western interventionists giving you lectures on how to live and how to govern your

own affairs."

Nine months later, he launched the largest U.S. military operation the region had seen in two decades and urged Iranians to "take over" their government, backed by U.S. force.

It marked a jarring reversal for a man whose political rise was fueled in part by American fatigue with large-scale military interventions. For years, Trump denounced Washington's "forever wars" and warned against toppling for-

eign regimes by force, a message that formed the foundation of the "America First" movement that won him the presidency twice.

Trump's decision to launch Operation Epic Fury was driven by frustration that Iran wouldn't cut a deal to constrain its nuclear program, his longtime personal grievances against Tehran, and a new conviction among the president and his top advisers after January's operation in Venezuela that regime change didn't have

to mean another Iraq, according to administration officials and others familiar with Trump's thinking.

It was also shaped by Trump's desire to achieve in Iran what no U.S. president had in almost 50 years. For months, allies from Prime Minister Benjamin Netanyahu to Republican lawmakers told Trump that the Iranian government was the weakest it had ever been, and urged him to seize a once-in-a-generation opportunity to de-

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Tehran's Strikes Across Gulf Deepen Resolve to Retaliate

By YAROSLAV TROFIMOV

DUBAI—The Iranian regime, decapitated in the first hours of the U.S.-Israeli campaign that started Saturday, has responded by striking at least nine countries across the Middle East, unleashing a truly regional war.

The apparent calculation was that, by targeting rich Persian Gulf monarchies that hold sway with the Trump administration, Tehran could force Washington and Israel into a rapid de-escalation.

Iran's expectation was that, by squeezing oil shipping

through the Strait of Hormuz and disrupting air traffic, it would cause unbearable pain to the Gulf nations that depend so much on expatriate workers, tourism and overseas trade.

So far, this calculus seems to have backfired. Gulf states, rattled by volleys of Iranian drones and missiles targeting their hotels, ports and airports, are concluding the Iranian peril must be confronted. Rather than seeking an off-ramp, the prevailing mood in the Gulf—at least for now—is that the Iranian regime can't be allowed to get away with

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Wall Street Readies for Impact, As Oil Climbs, Futures Fall

By DAVID UBERTI

Oil prices surged Sunday after the U.S. and Israel traded deadly blows with Iran across the Middle East, leaving Wall Street bracing for the economic fallout of an extended regional war.

Benchmark U.S. crude futures rose as much as 11%, trading as high as \$75 a barrel, before retreating to about \$70 at 10 p.m. Eastern time. Brent futures, the global price gauge were up about 5% to roughly \$76 a barrel. Futures tied to the S&P 500 were down less than 1%. Changes in stock futures don't always reflect market moves after the opening bell. In Asia early Monday, Jap-

Region in Conflict

- ◆ **Iran forces likely to defend regime.....** A6
- ◆ **Khamenei's death leaves Iran at turning point.....** A6
- ◆ **Leader built power as discontent grew.....** A7
- ◆ **Iran strikes region's airports.....** A9
- ◆ **Backlash over war bets... B1**

anese stocks were down 1.5% at the midday break in Tokyo, while Hong Kong's Hang Seng Index was off more than 2%.

Tit-for-tat strikes in recent days have thrust one of the world's key chokepoints for energy into the crossfire. As tanker operators scrambled for

safety, momentarily snarling supplies of oil, natural gas and more, traders have waded into the fog of war across live social-media feeds and TV coverage.

Iranian officials and media in recent days have shared conflicting statements about whether Tehran intends to stymie sea traffic through the Strait of Hormuz, a tactic that analysts say is likely designed to sow confusion.

While there haven't been concerted attacks on energy infrastructure so far, tanker-tracking firms say many companies have avoided traversing the narrow shipping route out of caution.

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INSIDE



MICHELLE VAIGRIVA FOR WSJ

U.S. NEWS
Inheritance is one of the only ways younger Californians get to own their first home. **A3**

PERSONAL JOURNAL
Want a work-from-home job? The chances of finding one are remote. **A10**

Founders Race to Save Private-Credit Giant

Doug Ostrover and Marc Lipschultz seemed to have private credit figured out.

By Gregory Zuckerman, Matt Wirz and Peter Rudegeair

The executives joined forces to launch fund manager Blue Owl Capital, turning it into a powerhouse in the booming business of lending to private companies without the use of banks. They pounced on trends early, zeroing in on lending to software companies, plowing money into artificial intelligence and selling their funds to wealthy individuals.

Ostrover and Lipschultz became instant billionaires, buying a hockey team, a piece of a football team and luxury real

estate. Now, the foundations of their empire are cracking—raising questions about the once-sizzling industry's future.

Spooked by a series of shocks in the wider credit market, individual investors who put cash into some Blue Owl funds have been asking for their money back.

The firm recently said it was unloading loans to raise cash for investor payouts. Fears about the impact of AI on software companies in Blue Owl's portfolio have weighed on its market value, which has lost about \$24 billion in around a year.

On Feb. 23, after battling a blizzard to get to his Park Avenue office, Ostrover led a call with thousands of financial ad-

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